Five Percent and Rising: Decoding the 19-Year High in US Treasury Yields

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Reading time: ~7 minutes

The number everyone is watching

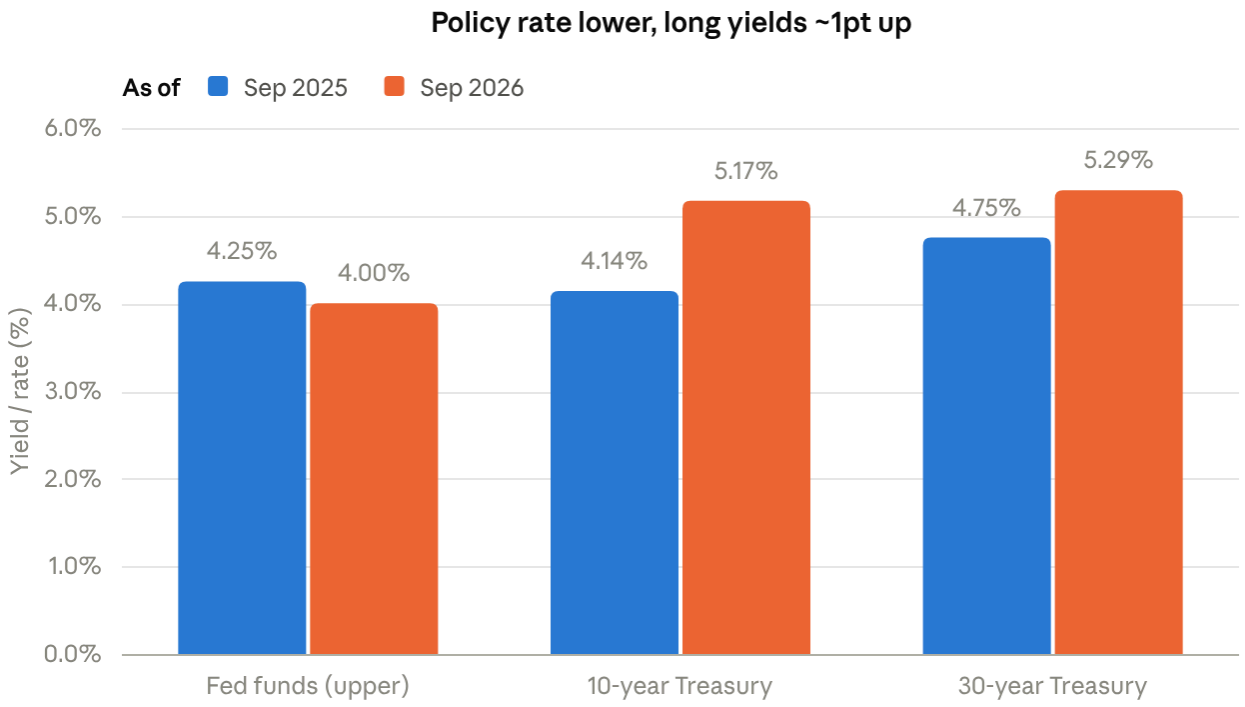
On Friday, 25 September 2026, the 10-year US Treasury yield touched **5.23%** intraday — its highest level since 2007 — before settling near **5.17%**. Earlier this month it was trading just under 4.8%. A year ago it sat around 4.1%. The 30-year bond has gone further, breaking to levels last seen in 2004 at roughly 5.3%.

For context, in February the Congressional Budget Office projected the 10-year would average about 4.1% in 2026. The market has blown through that assumption by more than a full percentage point in seven months.

The 10-year yield is not just another data point. It is the discount rate the world uses to price everything from a US mortgage to an Indian large-cap stock. When it moves 40–50 basis points in a month, every valuation model on every trading desk needs to be rerun.

Snapshot: where US rates stand today

Measure	Level (late Sep 2026)	Context
Fed funds target range	3.75% – 4.00%	Raised 25 bps on 16 Sep; first hike since July 2023
10-year Treasury yield	~5.17% (5.23% intraday high)	Highest since 2007
30-year Treasury yield	~5.3%	Highest since 2004
1-yr inflation expectations (UMich)	4.6%	Up from 4.0% in August
Odds of another hike on 28 Oct	~64–70%	CME FedWatch / swaps pricing



Fed has cut net 25 bps in a year, yet the 10-year and 30-year are up 50–100 bps: the term premium is back.

Federal Reserve, Trading Economics, MacroRadar, Advisor Perspectives · 19 Sep 2025 vs 25 Sep 2026

The chart captures the puzzle of 2026: the Fed's policy rate is actually a touch lower than a year ago, yet long-term borrowing costs are sharply higher. The short end is driven by the Fed; the long end is being driven by inflation fears, bond supply and risk.

Why yields are climbing: five forces at work

1. The Fed has turned from cutter to hiker

On 16 September the FOMC voted 12–0 to raise the policy rate by 25 bps to 3.75–4.00%, reversing part of the easing cycle that ran through late 2024 and 2025. More striking than the hike was the guidance: 16 of the 18 dot-plot submissions pointed to another increase, and four saw two more. The FOMC statement described economic activity as expanding at a solid pace with resilient spending, strong productivity and robust capital investment — this is a central bank tightening into strength, not weakness.

The market has taken the hint. Swaps are now pricing roughly three further quarter-point hikes over the next year.

2. The oil shock and the US–Iran conflict

The conflict with Iran and disruption around the Strait of Hormuz has kept crude prices elevated, and energy feeds directly into headline inflation and expectations. The 10-year is now more than a full percentage point higher than just before the war began. Tellingly,

Friday's small pullback in yields came only because oil dipped on reports that negotiators might be exploring a phased reopening of the strait. The bond market is effectively trading headlines out of the Gulf.

3. Inflation expectations are drifting up

The University of Michigan's September survey showed year-ahead inflation expectations jumping to 4.6% from 4.0% in August. For a Fed still scarred by the "transitory" misjudgment of 2021, this is exactly the kind of data that justifies tightening. When households and businesses start expecting higher prices, they behave in ways that make those expectations self-fulfilling.

4. Supply, supply, supply — including from AI

This is the part of the story that gets less airtime. Yields are set by supply and demand for bonds, and supply is surging from two directions:

- **Government borrowing.** Large deficits and a rising debt stock mean Treasury has to sell more paper every quarter. Treasury Secretary Bessent's attempt to cap long-end yields through larger buybacks has, by most accounts, done little.
- **Corporate AI borrowing.** Vanguard estimates that Alphabet, Amazon, Meta, Microsoft and Oracle issued around $132 billion of debt through July — against a 2020–24 average of about $35 billion a year. Broader AI-linked issuance across data centres, semiconductors and utilities could reach $300–570 billion this year. Every dollar of high-grade corporate debt competes with Treasuries for the same investor pool.

When supply rises faster than demand, prices fall and yields rise. It is that simple.

5. The term premium is back

For most of the 2010s, investors accepted almost no extra compensation for locking money up for 10 or 30 years. That era is over. Fiscal uncertainty, geopolitical risk and inflation volatility mean investors now demand a meaningful **term premium** — which is why the long end (10- and 30-year) is rising even faster than short-dated yields.

What higher yields mean in practice

For US households: The 30-year mortgage rate tracks the 10-year Treasury closely, so housing affordability is deteriorating again just as it had started to improve.

For equities: A higher risk-free rate raises the discount rate applied to future earnings. Long-duration growth stocks — including much of the AI trade — are the most sensitive. At 5%+ on a risk-free government bond, the equity risk premium on a market trading at over 21x forward earnings looks thin.

For the US fiscal position: Higher yields feed straight into interest costs, which is why congressional concern about the debt trajectory is growing louder. This creates a feedback loop: more debt → higher yields → higher interest bills → more debt.

For emerging markets like India: This is where it gets personal for Indian investors. US investors hold about 44% of FPI equity assets in India (roughly ₹31 lakh crore, per ICICI Securities). When a US investor can earn over 5% risk-free at home, the hurdle rate for owning Indian equities goes up — and the India–US 10-year spread has narrowed to around 2.2 percentage points. It is no coincidence that FPIs have sold close to ₹3 lakh crore of Indian stocks through exchanges this year.

My take: three scenarios for the next six months

Scenario	What happens	10-year yield range
Base case	Fed hikes once more (Oct or Dec), oil stays elevated but stable, fiscal worries persist	4.9% – 5.4%
Bull case for bonds	Hormuz deal brings oil down sharply, inflation expectations cool, Fed pauses after one more hike	4.5% – 4.9%
Bear case for bonds	Conflict escalates, oil spikes, inflation expectations de-anchor, Fed forced into multiple hikes	5.5%+

My view is that the base case is most likely, but the risks are skewed to the upside for yields. The supply story — government deficits plus the AI capex boom — is structural, not cyclical. Even if oil calms down, the market will keep demanding a higher term premium to absorb all that paper.

The biggest lesson from this episode? The 2010s playbook of near-zero rates and a Fed that cuts at the first sign of stress is not coming back soon. Investors who built portfolios for that world need to rethink duration risk, equity valuations and emerging-market allocations.

Key takeaways

- The 10-year Treasury yield hit a 19-year high of 5.23% as the Fed began a new hiking cycle.

- Drivers: a hawkish Fed, the oil shock from the Iran conflict, rising inflation expectations, heavy government and AI-related bond supply, and a returning term premium.
- Consequences reach well beyond the US — from mortgage rates to FPI flows into India.
- Watch: the 28 October FOMC meeting, oil prices and Hormuz headlines, and monthly Treasury auction demand.

Disclaimer: This article is for educational purposes only and does not constitute investment advice. Data is as of 26 September 2026.

Sources

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